MANAGEMENT REPORT / JULY – SEPTEMBER 2026

A quarter of steady growth.

Acme Cloud's fictional Q3 finance pack connects revenue, operating costs, cash movements, and next-quarter plans. Every figure is synthetic and intended for testing document analysis.

QUARTERLY REVENUE	OPERATING PROFIT	CLOSING CASH
$1.24M	**$349K**	**$668K**
July through September	28.1% operating margin	Up $168K during Q3

The quarter at a glance

- Monthly revenue rose from $350,000 in July to $480,000 in September, an increase of 37.1%.
- Cost of revenue was 30% of revenue in each month, leaving $868,000 in gross profit for the quarter.
- Operating expenses totaled $519,000. Payroll was the largest category at $282,000.
- Customer collections totaled $1.16M; closing accounts receivable was $230,000.

> **A useful distinction**
> Revenue records sales earned. Cash collections record payments received. Neither is interchangeable with new sales bookings.

What is in this pack

Monthly revenue CSV · management profit and loss · cash flow · October sales pipeline · Q4 budget · finance memo.

> **For testing only.** Acme Cloud and every customer, opportunity, assumption, and financial figure in this pack are invented. This is not a real company disclosure, audited financial statement, or investment recommendation.

01 / OPERATING PERFORMANCE

Revenue and operating costs

Amounts in USD. Costs are shown as positive deductions.

Metric	Jul	Aug	Sep	Q3 total
Revenue	$350,000	$410,000	$480,000	$1,240,000
Cost of revenue	$105,000	$123,000	$144,000	$372,000
Gross profit	**$245,000**	**$287,000**	**$336,000**	**$868,000**
Payroll	$90,000	$94,000	$98,000	$282,000
Marketing	$28,000	$32,000	$38,000	$98,000
Research & development	$25,000	$27,000	$30,000	$82,000
General & administrative	$18,000	$19,000	$20,000	$57,000
Total operating expenses	**$161,000**	**$172,000**	**$186,000**	**$519,000**
Operating profit	**$84,000**	**$115,000**	**$150,000**	**$349,000**

Margin profile

Gross margin: **70.0%**
Operating margin: **28.1%**
Payroll / revenue: **22.7%**

Monthly momentum

August vs. July: **+17.1%**
September vs. August: **+17.1%**
September vs. July: **+37.1%**

> **Management reading**
> Revenue increased faster than operating expenses within this fictional quarter. That explains the rise in operating profit from $84,000 in July to $150,000 in September.

Basis of preparation

This simplified management P&L shows operating profit before interest, tax, depreciation, and amortization. Capital purchases are excluded from operating expenses and shown in cash flow. Revenue is assumed to be recognized in the month shown; no real accounting records support these test figures.

Source files: monthly-revenue.csv and quarterly-profit-and-loss.csv. Totals reconcile across both files.

02 / LIQUIDITY

Cash is not the same as revenue.

Amounts in USD. Payment rows are positive cash outflows.

Cash movement	Jul	Aug	Sep	Quarter
Opening cash	$500,000	$537,000	$597,000	$500,000
Customer collections	$325,000	$390,000	$445,000	$1,160,000
Supplier payments	$100,000	$120,000	$140,000	$360,000
Operating payments	$158,000	$170,000	$184,000	$512,000
Capital expenditure	$20,000	$25,000	$30,000	$75,000
Tax payments	$10,000	$15,000	$20,000	$45,000
Net cash change	**$37,000**	**$60,000**	**$71,000**	**$168,000**
Closing cash	**$537,000**	**$597,000**	**$668,000**	**$668,000**

> **Reconciliation**
> $500,000 opening cash + $1,160,000 collections − $360,000 supplier payments − $512,000 operating payments − $75,000 capital purchases − $45,000 tax payments = **$668,000 closing cash**.

Accounts receivable at September 30

Aging bucket	Balance
Current	$140,000
1–30 days overdue	$60,000
31–60 days overdue	$25,000
Over 60 days overdue	$5,000
Total	**$230,000**

Opening receivables of $150,000 + quarterly recognized revenue of $1,240,000 − customer collections of $1,160,000 = $230,000 closing receivables. No write-offs or other adjustments are assumed.

The $7,000 difference between operating expenses and operating cash payments is a timing accrual. Supplier payments are $12,000 below cost of revenue, also attributed to payment timing. This is not a complete balance sheet.

03 / THE NEXT QUARTER

Separate forecasts from plans.

STATISTICAL BASELINE

$543,333

October revenue from a straight-line fit to July, August, and September. Exact result: **$543,333.33**.

MANAGEMENT BUDGET

$520,000

October planned revenue, set independently as a fictional management target. It is **$23,333.33 below** the trend estimate.

Three observations provide a weak forecasting basis. The trend does not capture seasonality, churn, pipeline timing, or market conditions. No confidence interval is claimed.

Q4 management budget

Month	Revenue	Cost of revenue	Operating costs	Operating profit
2026-10	$520,000	$156,000	$200,000	$164,000
2026-11	$550,000	$165,000	$210,000	$175,000
2026-12	$600,000	$180,000	$225,000	$195,000
Q4 total	**$1,670,000**	**$501,000**	**$635,000**	**$534,000**

October pipeline — new contract bookings

Fictional customer	Contract value	Probability	Weighted value
Alder Systems	$180,000	50%	$90,000
Northstar Labs	$120,000	75%	$90,000
Harbor Analytics	$90,000	30%	$27,000
Cedar Logistics	$75,000	60%	$45,000
Lumen Retail	$60,000	20%	$12,000
Juniper Works	$45,000	20%	$9,000
Total	**$570,000**	**—**	**$273,000**

Contract values are new bookings, not monthly recognized revenue. Probabilities are invented planning assumptions, not calibrated estimates. Do not add pipeline values directly to October revenue or cash.

> **Questions to test with an AI**
> What drove operating profit? Why do revenue and cash collections differ? Which customers need collection follow-up? How does the October budget compare with the baseline forecast?